

EQUITY RESEARCH · COMPANY DEEP DIVE

Microsoft Corporation (MSFT.US)

Technology · Software - Infrastructure

Large Cap (>\$200B) · Report Date: July 13, 2026

Latest financials: Q2 FY2025 · Model data as of 2026-07-13

HOLD

Composite · Valuation: HOLD

Target \$410.95 · +4.9% upside

Price \$391.71

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target \$410.95 (+4.9% vs \$391.71); Comps 100% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	HOLD	Blended PT \$410.95	45%
FSA	Strong	Health +0.30 · Strong	20%
Technical	BEARISH	Bearish	20%
Quantitative	NEGATIVE	Score -0.70 · 12m -22%	15%
Composite	HOLD	Score -0.02 · 50% confluence	—

Solid financial statement profile.

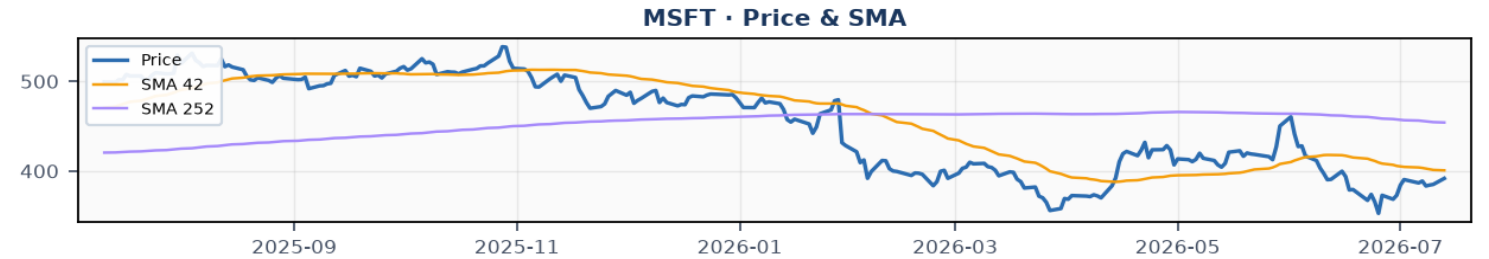
INVESTMENT THESIS / EXECUTIVE SUMMARY

Microsoft Corporation (MSFT) — Technology. Microsoft Corporation develops and supports software, services, devices, and solutions worldwide. The Productivity and Business Processes segment offers... **HOLD** rating; blended target \$410.95. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$2.91T	Shares Out.	7428.4M
52-Week Range	\$349.20 – \$555.45	P/E (TTM)	23.3x
P/B	7.0x	Beta	1.13
Avg Volume	40.17M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$318.27B	Rev Growth	+18.3%
Op. Margin	46.3%	FCF (TTM)	\$71.61B
Gross Margin	68.3%	ROE	34.0%
EV/EBITDA	15.8x	Debt/Equity	30.3%
EPS (TTM)	\$16.79	Div Yield	95.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	245,122	281,724	333,279	378,472	417,235
Revenue Growth (%)	N/A	14.9%	18.3%	13.6%	10.2%
Net Income (\$M)	88,136	101,832	120,467	136,803	150,814
Gross Margin (%)	69.8%	68.8%	68.3%	68.3%	68.3%
Net Margin (%)	36.0%	36.1%	36.1%	36.1%	36.1%
EPS (\$)	11.86	13.71	16.22	18.42	20.30
P/E (x)	33.01	28.57	24.15	21.27	19.29

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$400.76	Short-term trend	12m Momentum	-21.5%	
SMA (252d)	\$454.13	Long-term trend	3m Momentum	+2.1%	
RSI (14d)	63.0	Momentum oscillator	Ann. Volatility	27.0%	
Trend	Bearish		Sharpe Ratio	0.14	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-37.1%	
Death Cross (20d)	No		Rel. Strength vs SPY	-39.1%	
TA Signal	BEARISH	SMA42 below SMA252; SMA42=\$400.76, SMA252=\$454.13	Quant Score	-0.70	NEGATIVE
			SMA Backtest (ann.)	7.2%	B&H; 12.5%

VALUATION CROSS-CHECK · DCF (SIMON FCFE)

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes	Item	Value
DCF (Simon FCFE)	\$210.48	-46.3%	0% (excluded)	Diverges below other methods (43% of median)	Ke · Terminal g	10.21% · 4.00%
					FCFE growth	9.15%
					Equity value	\$1.56T
Comps — Blended (median of multiples + uplift anchors)	\$410.95	+4.9%	100%	Included in blend	Implied price	\$210.48
					vs. current	-46.3%
Analyst consensus (Yahoo Finance)	\$559.86	+42.9%	0% (excluded)	Analyst consensus lags / diverges >35% from comps		
Blended target (weighted)	\$410.95	+4.9%	100%	Comps 100%		

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ORCL	Oracle Corporation	\$388.55B	23.1x	17.9x	25.4%	+20.6%
CRM	Salesforce, Inc.	\$141.00B	20.0x	12.8x	18.7%	+13.3%
NOW	ServiceNow, Inc.	\$115.73B	66.8x	37.5x	12.6%	+22.1%
IBM	International Business	\$274.59B	25.9x	19.8x	15.6%	+9.5%
MSFT*	Microsoft Corporation	\$2.91T	23.3x	15.8x	39.3%	+18.3%

* Subject company. P/e in line with peer median; stronger profitability than peers. Trends: Strong top-line growth (18.3% YoY); High operating leverage (46.3% margin); Sector: Technology | Industry: Software - Infrastructure - Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.